

E-Commerce Checkout Optimization

As society grows into a more digital world, there are many day-to-day activities that we have the convenience to do online, for example shopping. This is a great solution as it helps out a lot of people but there are problems the businesses or e-commerce stores might experience. One of the problems that they have is cart abandonment.

Cart abandonment occurs when customers add products to their online shopping cart but leave the website before completing the purchase.

In this online store, a high number of customers abandon their carts during checkout stage and this results in:

- Loss of sales revenue
- Reduced customer satisfaction
- Lower conversion rates

The current checkout process appears to be long and confusing, causing customers to lose interest or trust before payment is completed.

1. Possible Causes of cart abandonment:

- Too many checkout steps
- Forced account creation
- Complicated payment process
- Slow page loading times
- Hidden delivery cost / taxes
- Lack of payment options
- Poor mobile experience
- Unclear checkout progress

2. Gap Analysis

Purpose:

The purpose of this gap analysis is to identify weaknesses in the current e-commerce checkout system and compare them with the desired future checkout experience.

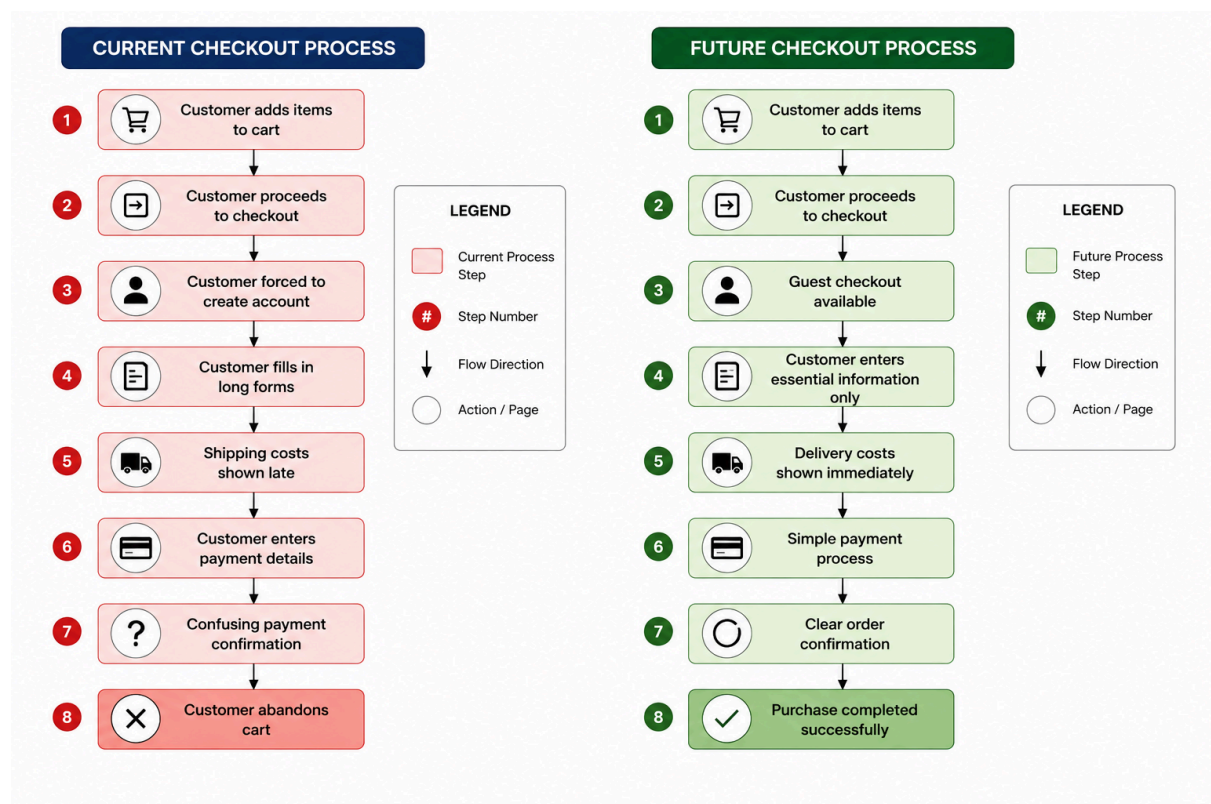
The current system experiences a high cart abandonment rate during checkout, customers leave the website before completing payment due to a complicated and unclear checkout process. The desire for the future checkout process is that it should be faster, easier to understand, mobile friendly, transparent and user friendly.

Current Checkout Process vs Improved Checkout Process

Area	Current checkout process	Improved checkout process	Gap identified
Checkout length	5-7 steps	2-3 steps	Checkout process is too long

User registration	Mandatory account creation	Guest checkout available	Customer is forced to register
Payment process	Unclear and confusing	Simple and guided process	Lack of payment clarity
Cost visibility	Hidden fees appear late	All costs shown early	Unexpected costs frustrate users
Mobile usability	Difficult on mobile phones	Fully responsive checkout on any device	Poor mobile experience
Payment methods	Limited payment options	Multiple payment options	Customer preferences not supported
Form completion	Long forms with many fields	Short forms with essential fields	Checkout takes too long
navigation	No checkout progress indicator	Visible progress tracking	Customer is unsure of remaining steps

Current checkout process vs Future checkout process



3. *Customer pain points*

- Too many checkout steps - customers are required to move through several pages before completing payment, which increases frustration and abandonment.
- Forced account creation - Customers cannot continue without creating an account, making the process longer and inconvenient.
- Unclear Payment flow - The payment process lacks clear instructions, making customers uncertain about the next step.
- Hidden costs - Shipping or additional fees only appear at the end of checkout, causing customers to abandon the purchase unexpectedly.
- Long forms - Customers must fill in too many unnecessary details before completing payment.
- Limited payment options - Some customers may not have access to the available payment method given on the payment option
- Slow checkout performance - Slow-loading pages may frustrate users and reduce trust in the website.

4. *Improvement proposal*

1. Reduce Checkout Steps

Decrease the number of checkout pages from 5–7 steps to 2–3 simple steps.

2. Introduce Guest Checkout

If needed, allow customers to create accounts at the beginning, or allow purchase without creating an account.

Expected Benefit

- Faster checkout
- Reduced customer frustration

3. Improve Payment Clarity

Provide:

- Clear payment instructions
- Order summaries
- Confirmation messages

Expected Benefit

- Improved customer trust
- Reduced confusion

4. Display Costs Earlier

Show:

- Shipping fees
- Taxes
- Final total

before the payment stage.

Expected Benefit

- Increased transparency
- Fewer abandoned carts

5. Simplify Forms

Only collect necessary customer information.

Expected Benefit

- Faster checkout process
- Improved user experience

6. Improve Mobile Experience

Optimize the checkout process for smartphones and tablets.

Expected Benefit

- Better accessibility
- Higher mobile conversion rates

7. Add Multiple Payment Options

Support:

- Credit/Debit cards
- EFT
- Mobile payments
- Digital wallets

Expected Benefit

- More customer convenience
- Increased completed purchases

8. Introduce Time-Limited Promotions

It helps encourage customers to complete purchases faster instead of abandoning their carts.

Expected benefit

- Creates urgency
- Reduced cart abandonment rates
- Increased completed purchases

Conclusion

The analysis shows that the current checkout process creates unnecessary obstacles that lead to cart abandonment. By simplifying the checkout flow by focusing on simplicity, speed, transparency, and mobile usability, the online store can improve customer satisfaction, increase completed purchases, and reduce cart abandonment rates.